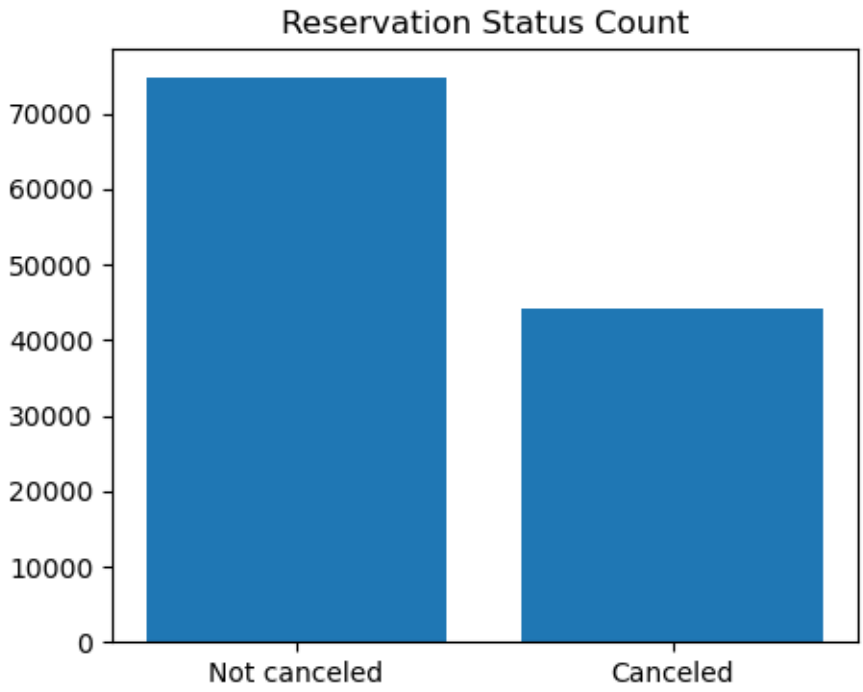
Research Question

1. What are the variable that affect hotel reservation cancellations?
2. How can we make hotel reservation cancellation batter?
3. How will hotels be assisted in making pricing and promotional decisions?

Hypothesis

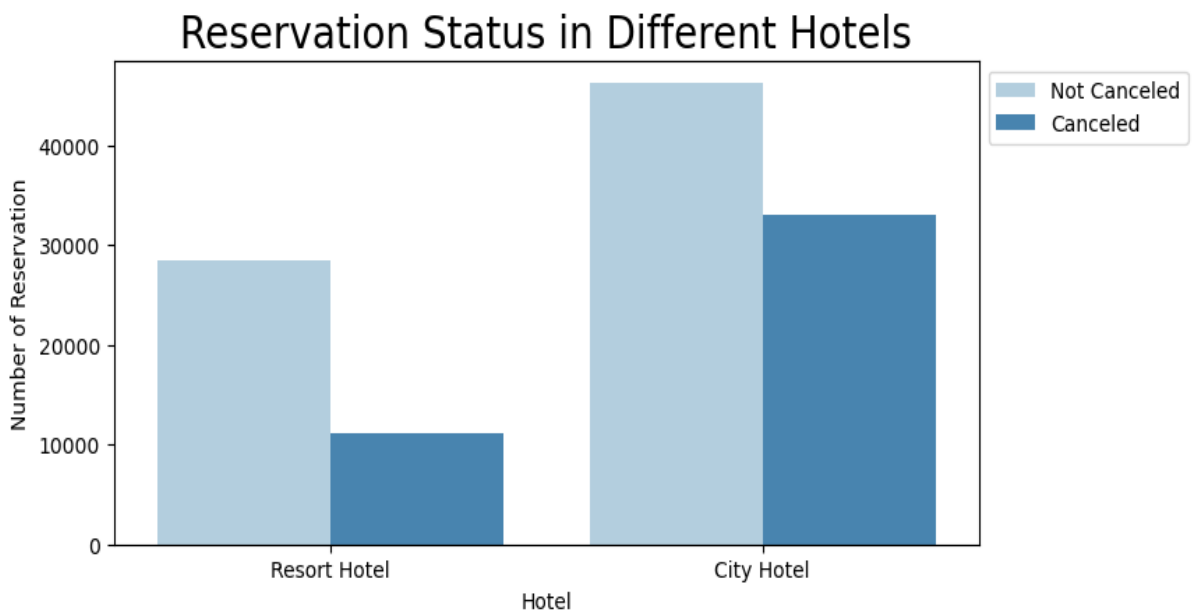
1. More cancellation occur when prices are higher.
2. When there is long waiting list, customers tend to cancel more frequently.
3. The majority of clients are coming from offline travel agents to make their reservation.

Analysis and Findings

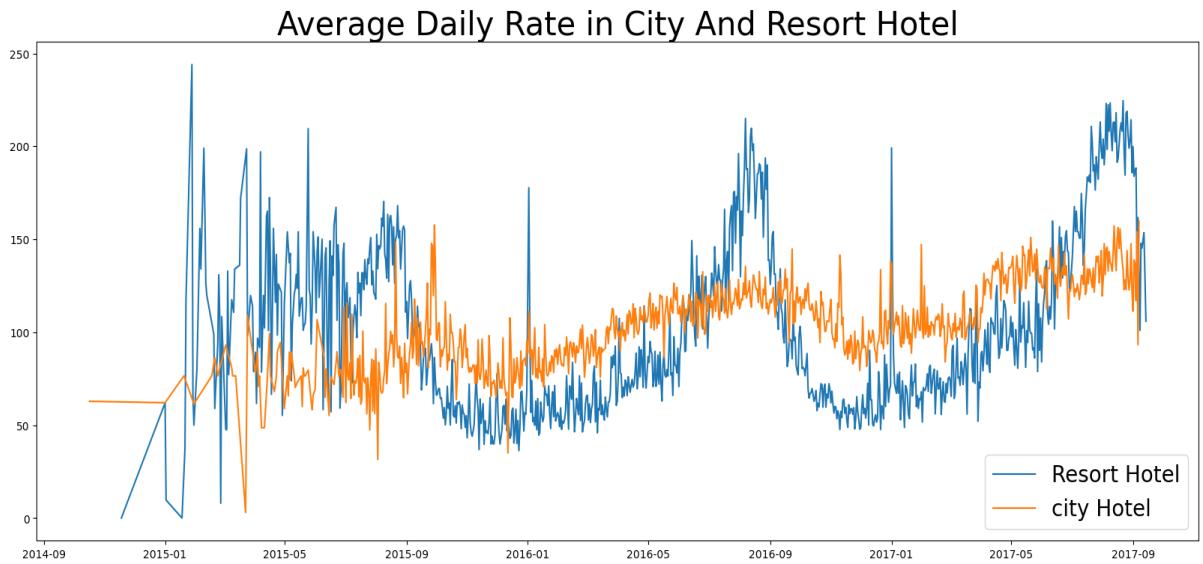


The accompanying bar graph shows the percentage of reservations that are cancelled and those that are not. It is obvious that there are still a significant number of reservations that have not been cancelled. There are still 37% of

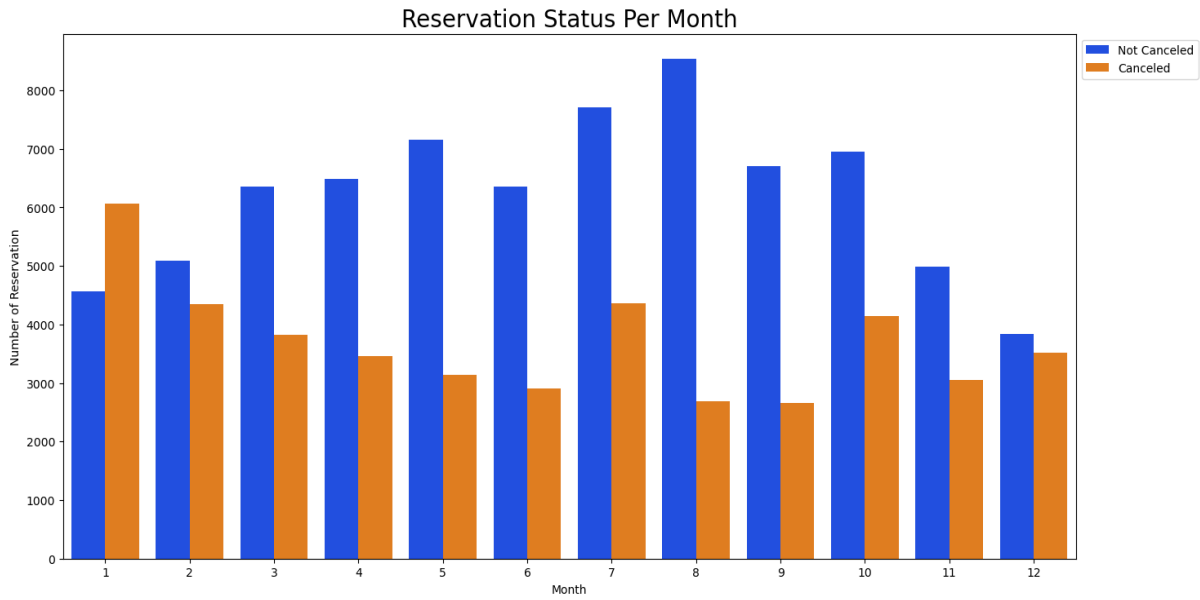
clients who cancelled their reservation. Which has a significant impact on the hotels earnings.



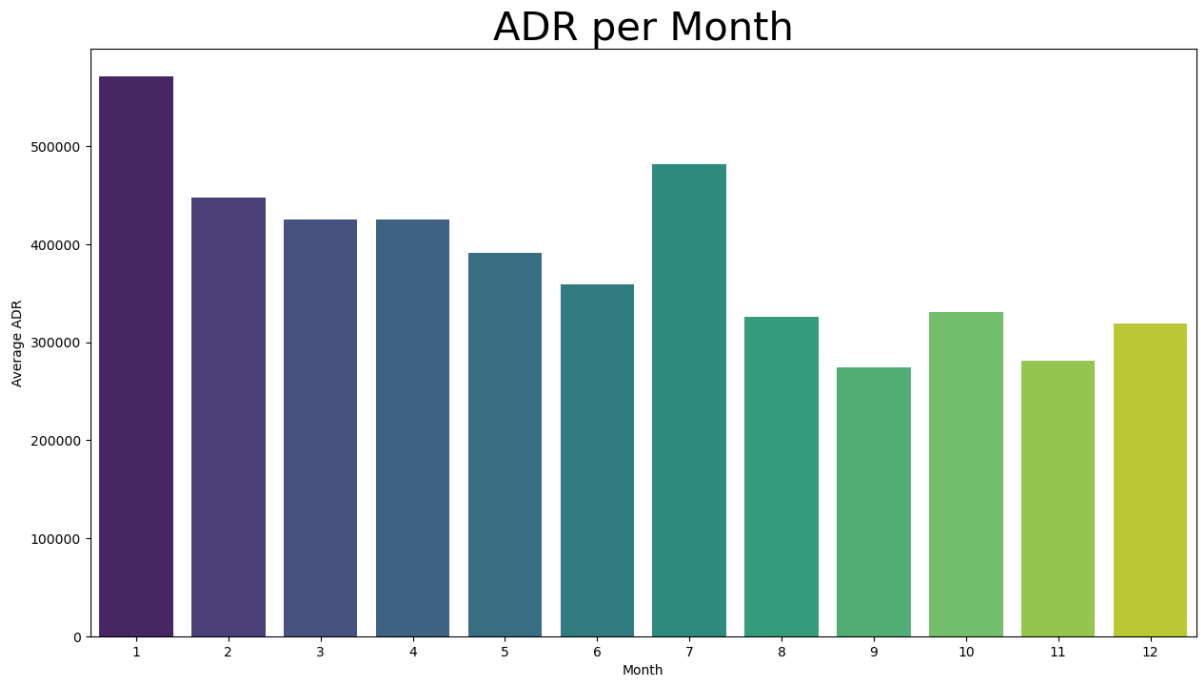
In comparison to resort hotels, city hotels have more bookings. It's possible that resort hotels are more expensive than those in cities.



The line graph above shows that, on certain days, the average daily rate for a city hotels is less than that of a resort hotel, and on other days, it is even less. It goes without saying weekends and holidays may see a rise in resort hotel rates.

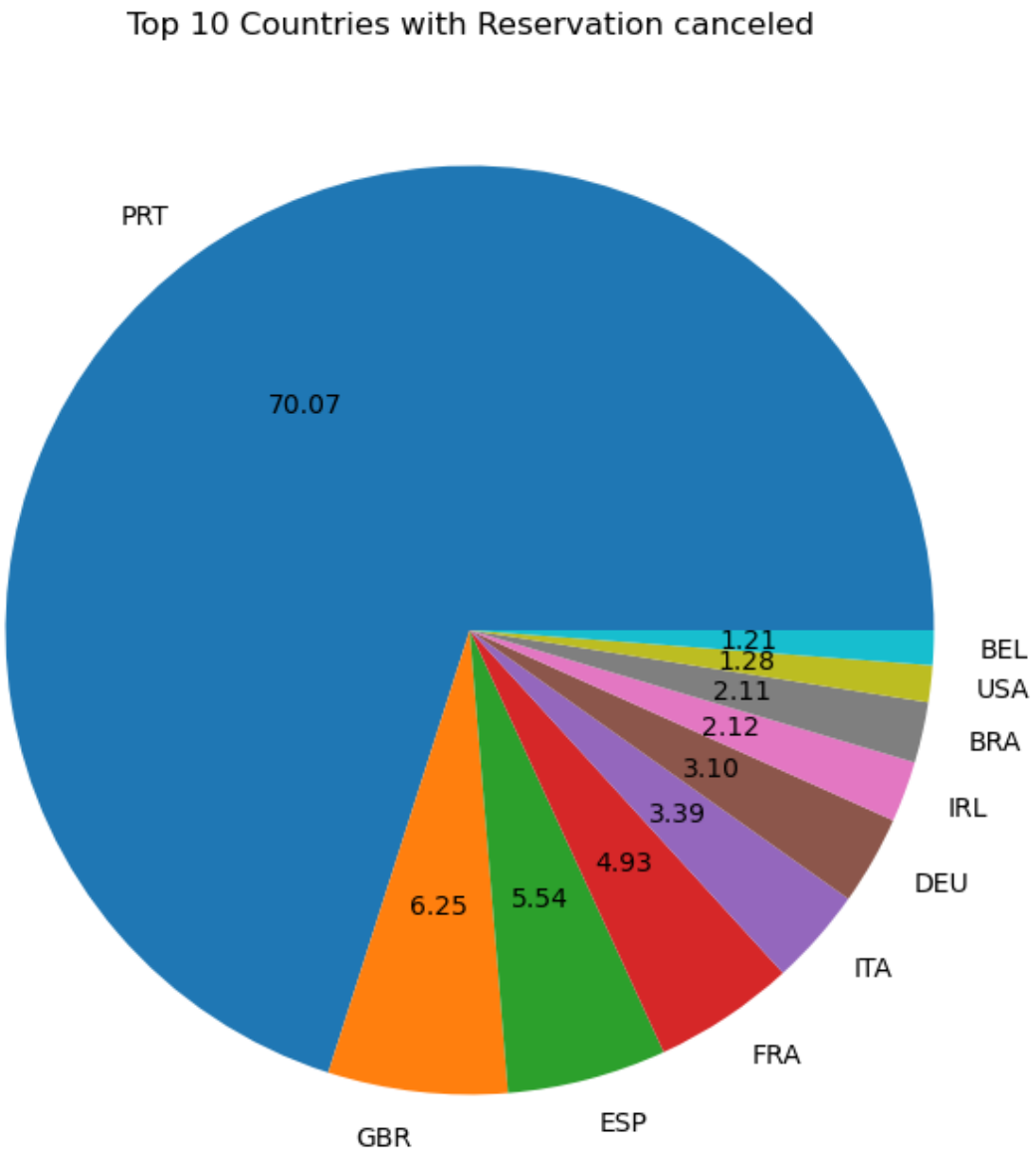


We have developed the groped bar graph to analyse the month with the highest and lowest reservation level according to reservation status. As can be seen. Both the number of confirmed reservations and the number of cancelled reservations are the largest in the month of August. Whereas January is the month with the most cancelled reservations.



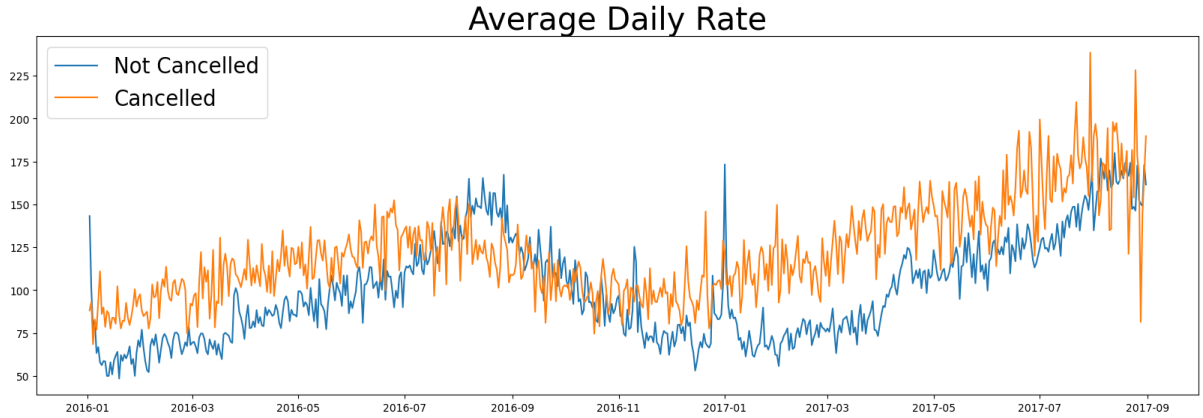
The bar graph demonstrates that cancellations are most common when price are greatest and are least common when they are lowest. Therefor the cost of accommodation is solely responsible for the cancellation.

Now let's see which country has the highest reservation cancelled. The top country is Portugal with the highest number of cancellations.



Let's check the area from where guests are visiting the hotels and making reservations. Is it coming from Direct or Groups, Online or Offline Travel Agents? Around 46% of the clients come from online travel agencies, whereas

27% come from groups. Only 4% of clients book hotels directly by visiting them and making reservations.



As seen the graph, reservations are cancelled when the average daily rate is higher than when it is not cancelled. It clearly proves all the above analysis, that the higher price leads to higher cancellation.

Suggestions

1. Cancellation rate rise as the price does. In order to prevent cancellation of reservations, hotel could work on their pricing strategies and try to lower the rates for specific hotels based on locations. They can also provide some discounts to the consumers.

2. As the ratio of the cancellation and not cancellation of the resort hotel is higher in the resort hotel than the city hotels. So the hotels should provide a reasonable discount on the room prices on weekends or on holidays.

3. In the month of January, hotels can start campaigns or marketing with a reasonable amount to increase their revenue as the cancellation is the highest in this month

4. They can also increase the quality of their hotels and their services mainly in Portugal to reduce the cancellation rate.